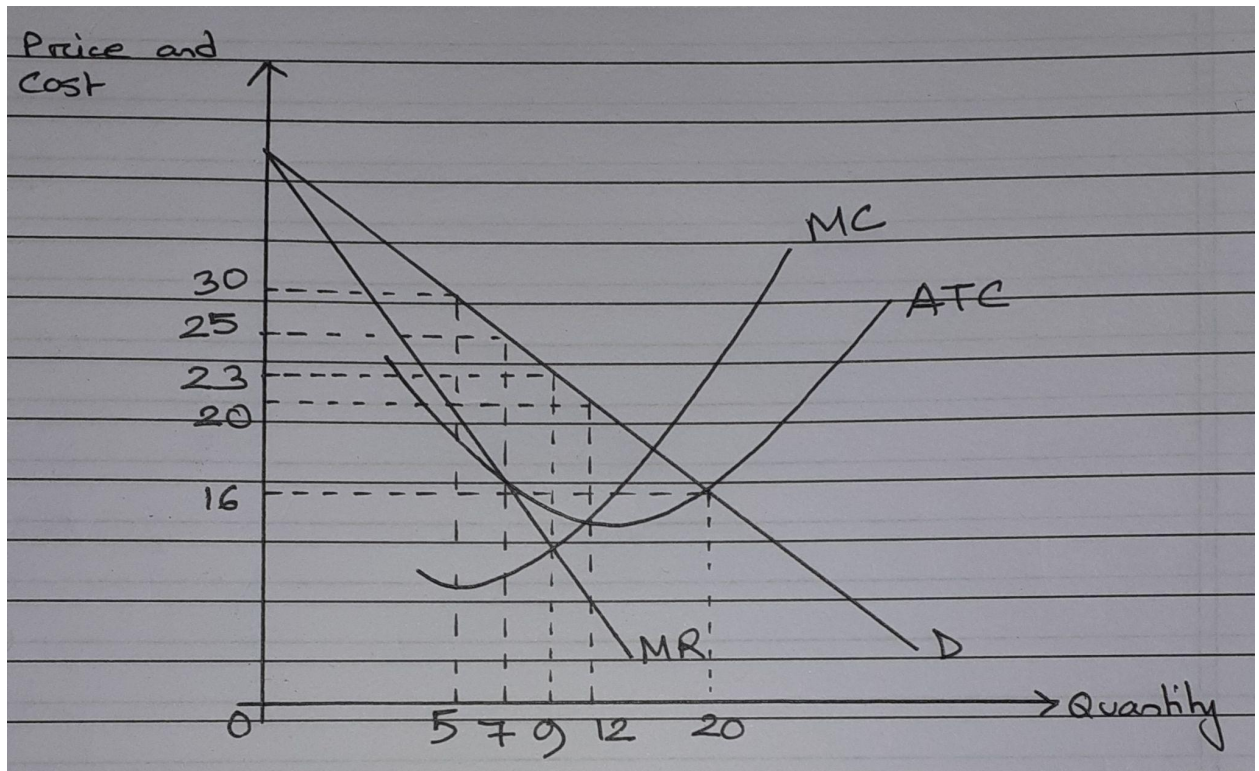


Monopoly

1. One of the requirements for a monopoly is that there is a unique product with no close substitutes.
2. A monopoly is a market with
A) no barriers to entry. B) many substitutes. C) many suppliers. D) one supplier
3. Which barrier to entry is an exclusive right granted to the author or composer of a literary, musical, dramatic or artistic work?
A) government license B) patent C) public franchise D) copyright
4. Which of the following best defines price discrimination ?
A) charging different prices on the basis of race
B) charging different prices for goods with different costs of production
C) charging different prices based on cost-of-service differences
D) selling a certain product of given quality and cost per unit at different prices to different buyers
5. Compared to a perfectly competitive market a monopoly market will usually generate ?
A) higher prices and lower output
B) higher prices and higher output
C) lower prices and lower output
D) lower prices and higher output



6.

Forgot to label the ATC's

- A) In order to maximize profits, how much of product A will the monopoly produce? What price will be charged at this quantity?

Ans A) For the monopoly, profit maximizing output is 9, where $MR=MC$. And the price charged at this level of quantity is \$23.

- B) Calculate TC, TR & Profit for the identified quantity.

Ans B)

$$TC = (ATC \times Q) = (13 \times 9) = \$117$$

$$TR = (P \times Q) = (23 \times 9) = \$207$$

$$\text{Profit} = TR - TC = 207 - 117 = \$90.$$

- C) How does a monopoly cause deadweight loss?

Ans C) Monopolies make less than the socially efficient quantity and charge higher price, which creates the deadweight loss.

Note: All these problems have been taken from external sources.